consultant. "Just as there is the Basel protocol for international banking settlement, certain such protocols will be evolved for cryptocurrencies too." This will help protect an investor from the intense volatility of cryptocurrencies. The Basel III norms are an internationally agreed set of measures developed by the Basel Committee on banking supervision in response to the financial crisis of 2007-09. The measures aim to strengthen the regulation, supervision and risk management of banks. "The overall tone (of the New Delhi resolution) seems to be that these countries will accept cryptocurrencies as an asset class. When the regulations ultimately come up, the jurisdictions will have the right to frame regulations like in the case of Basel protocol," says Parekh. He adds that the RBI would have played a key role in setting the tone of the declaration on cryptocurrencies.

Industry players say that the FATF Travel Rule is a robust mechanism for tracking and tracing crypto transactions, from the origin to the beneficiary. The rule mandates that cryptocurrency exchanges, digital wallet providers and financial institutions exchange specific customer data when transacting crypto assets above a defined threshold. Its adoption by the G20 nations will help guardrail the crypto ecosystem from bad actors and frauds to a great extent, they say. "India has already taken its first steps in this direction by bringing crypto asset service providers under the ambit of the PMLA (Prevention of Money Laundering Act) as reporting entities," explains Venkatesh. "India's ongoing and upcoming FATF mutual evaluation offers further opportunities for the government and industry to work together to ensure greater and more real-time supervision of the virtual digital asset ecosystem, which could be a win-win for all concerned stakeholders."

While India is recognised as a global hub for innovation, industry players view that its issues and challenges, both from an economic as well as a national security standpoint, are somewhat unique. The country has, therefore, taken small and measured steps to bring virtual digital assets into the domestic regulatory ambit. Starting with the tax announcement in Union Budget 2022, to the recent March 2023 PMLA notification, the intent has been clear and the direction has been 'progressive', they add.

EXPERTS EXPECT REGULATIONS TO BE PUT IN PLACE FOR CRYPTOCURRENCIES JUST AS THERE ARE REGULATIONS FOR OTHER ASSET CLASSES SUCH AS EQUITY OR REAL ESTATE

All crypto transactions by resident Indians, no matter where and how these are carried out, already need to be reported under the relevant tax laws as well as recorded by crypto platforms, for reporting to the Financial Intelligence Unit under India's revenue department, if needed. "At CoinSwitch, we have been following a very robust internal compliance process even before the Budget 2022 tax announcement, and we are very encouraged by the government's intent to ensure common tracking, tracing and reporting thresholds for the entire sector," says Venkatesh. In essence, CARF will be a global extension of the existing domestic crypto transaction reporting structure that is present in India.

However, not everyone is optimistic. Some say that implementing some of the resolutions will be quite a challenge. "Since 2017-18, the policymakers of all nations have been making multiple statements, but then nothing happens. There is too much jargon (in the resolution). They should have clearly said how cryptos will be regulated—like stock or some other financial instrument," says a Mumbai-based expert on the crypto sector, who did not wish to be named. The reason for his pessimism springs from the fact that the taxation and financial market regulation rules are different in each of the G20 countries. "Oil or gold or mutual funds are traded under different norms in these countries. Getting these countries to agree on a decision on an asset class is next to impossible. They would not want any regulatory or tax arbitrage, as they fear that if they resort to any regulation, their crypto markets will move out of their countries to other destinations," he adds.

While it is true that evolving a consensus among these countries on such matters is bound to be complex, the tone and tenor of the recent G20 declaration looks more urgent. What will be looked upon now with great interest is what the October meeting of finance ministers and central bank governors come up with and whether they can frame a definitive regulatory mechanism that will accord more stability and transparency to the crypto market, and offer more protection to investors against the vagaries of the cryptocurrency trade. ■